

## 01 / CHOOSE THE COMPARISON

# Before you call it a retention win.

A practical note on second-purchase measurement. The numbers below are a worked planning example, not reported client performance.

## Start with a cohort that had time to return

Group customers by the date of their first eligible order. Give each customer the same observation window. A person who first bought yesterday has not had the same chance to return as someone who bought three months ago.

| Decision                 | Write it down before measuring                                                                                                             |
|--------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| Who is in the cohort?    | First-time customers with an eligible first order in the selected period. Define how you handle cancelled, fully refunded and test orders. |
| What counts as a return? | A second eligible order within the chosen window. Distinguish a repeat customer from the number of repeat orders.                          |
| What is the window?      | Use a window appropriate to the buying cycle. Compare cohorts at equal maturity and state the window beside the rate.                      |
| What data is dependable? | Check customer identity, order dates, refunds and time zones. Explain exclusions rather than silently remove awkward records.              |

## The basic calculation

252 returning customers / 1,200 first-time customers = **21% within 90 days**. That is a fixed-window second-purchase rate. It is not full customer lifetime value, and it does not establish why customers returned.

## 02 / WORK THROUGH THE ECONOMICS

# A better rate still has to pay for the work.

Explore the contribution from an additional second order before choosing a programme budget. Keep sales and contribution separate.

| Planning assumption                       | Value                       |
|-------------------------------------------|-----------------------------|
| First-time customer cohort                | 1,200 customers             |
| Observed 90-day repeat rate               | 21%                         |
| Explored increase                         | 4 percentage points, to 25% |
| Additional repeat customers               | $1,200 \times 4\% = 48$     |
| Net sales per additional second order     | INR 2,100                   |
| Contribution margin before programme cost | 40%                         |
| Programme cost                            | INR 20,000                  |

## Follow the money

$48 \times \text{INR } 2,100 = \text{INR } 100,800$  in additional net sales.

$\text{INR } 100,800 \times 40\% = \text{INR } 40,320$  in contribution.

$\text{INR } 40,320 - \text{INR } 20,000 = \text{INR } 20,320$  after programme cost.

## Find the break-even point

Each additional order contributes INR 840 at these assumptions. Covering INR 20,000 therefore requires 24 additional repeat customers, rounded up. Revisit the result if discounts, returns or fulfilment costs change.

## 03 / DECIDE WHAT TO TRY

# Write a test someone else can understand.

A clear intervention, audience and comparison will teach more than launching several changes and attributing every later order to email.

| Test note        | Worked example                                                                                                                                                    |
|------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Customer problem | A first-time buyer receives little guidance after delivery. The team wants to test whether useful product education changes the next-order behaviour.             |
| Intervention     | One post-delivery education message, timed to a reliable delivery event or a documented proxy. Separate service issues and consent restrictions from eligibility. |
| Comparison       | Where feasible, randomly assign eligible customers to treatment and holdout before the intervention. Preserve assignment and avoid cross-group contamination.     |
| Primary outcome  | Second eligible order within the agreed window. Define refunds, attribution boundaries and the minimum evidence needed before starting.                           |
| Guardrails       | Unsubscribes, complaints, discount cost and service issues. A higher purchase rate is not a reason to ignore a worse customer experience.                         |

## When a holdout is not practical

Use comparable, mature cohorts and explain seasonality, promotions, stock and channel mix. Treat the comparison as directional evidence, not a causal claim. If the sample is too small, report the uncertainty and keep observing.

## Try your own assumptions

[Open the Repeat-Purchase Calculator](#) to inspect the arithmetic and export a scenario. It runs locally and does not upload customer data.